SUBCONTRACT AGREEMENT

Subcontract No. MB-25-0412-S03

THIS SUBCONTRACT AGREEMENT (this "Subcontract") is made as of December 9, 2025, between MERIDIAN BUILDERS, INC., a California corporation holding California Contractors State License Board License No. 1083421, with offices at 2200 Broadway, Suite 400, Oakland, California 94612 ("Contractor"), and SUMMIT DRYWALL, INC., a California corporation holding License No. 1057730, with offices at 3410 Depot Road, Hayward, California 94545 ("Subcontractor").

RECITALS

A. Contractor has entered into an agreement dated September 22, 2025 (the "Prime Contract") with Bayview Health, a California nonprofit public benefit corporation ("Owner"), for the construction of the Bayview Clinic Tenant Improvement located at 1400 Embarcadero West, Oakland, California 94607 (the "Project").

B. Contractor desires to subcontract a portion of the work required under the Prime Contract to Subcontractor, and Subcontractor desires to perform that portion of the work, on the terms and conditions set forth below.

NOW, THEREFORE, in consideration of the mutual promises contained in this Subcontract, Contractor and Subcontractor agree as follows.

ARTICLE 1 — SUBCONTRACT DOCUMENTS

1.1 The Subcontract Documents consist of this Subcontract; Exhibit A (Scope of Work); Exhibit B (Schedule of Values); Exhibit C (Insurance Requirements); the Prime Contract, including all drawings, specifications, addenda, general conditions and supplementary conditions incorporated in it; and all modifications to any of the foregoing issued after the date of this Subcontract. The Prime Contract is available for review at Contractor's office, and Subcontractor represents that it has examined the Prime Contract to the extent it relates to the Subcontract Work.

1.2 Subcontractor assumes toward Contractor all of the obligations and responsibilities that Contractor assumes toward Owner under the Prime Contract, insofar as they apply to the Subcontract Work. Where a provision of this Subcontract conflicts with a provision of the Prime Contract, the provision that imposes the greater duty or the higher standard on Subcontractor shall govern.

1.3 Subcontractor shall be bound by all notice, documentation and claim procedures of the Prime Contract, with each period for notice by Contractor to Owner reduced by three (3) days for purposes of notice by Subcontractor to Contractor.

ARTICLE 2 — SCOPE OF WORK

2.1 Subcontractor shall furnish all labor, materials, equipment, tools, supervision, layout, hoisting, scaffolding, protection, cleanup and services necessary to complete the metal stud framing, gypsum board assemblies, shaft wall, acoustical batt insulation within framed partitions, and tape-and-finish work described in Exhibit A and in Specification Sections 07 21 00, 09 22 16 and 09 29 00 (collectively, the "Subcontract Work"), in strict accordance with the Subcontract Documents.

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2.2 Subcontractor shall perform not less than seventy percent (70%) of the Subcontract Work, measured by value, with its own forces, and shall not subcontract any portion of the Subcontract Work without Contractor's prior written consent, which Contractor may withhold in its reasonable discretion.

2.3 Subcontractor has visited the Project site, examined the existing conditions and the work of other trades, and satisfied itself as to the conditions under which the Subcontract Work will be performed. Subcontractor shall coordinate its work with the work of Contractor and all other subcontractors, and shall lay out its work from benchmarks and control lines established by Contractor.

2.4 Subcontractor shall keep the Project site free of debris arising from the Subcontract Work on a daily basis and shall remove its surplus materials and equipment promptly on completion.

ARTICLE 3 — SUBCONTRACT SUM AND SCHEDULE OF VALUES

3.1 Contractor shall pay Subcontractor, for the full and faithful performance of the Subcontract Work, the sum of Two Hundred Thousand Dollars ($200,000.00) (the "Subcontract Sum"), subject to additions and deductions by Change Order as provided in Article 9. The Subcontract Sum includes all sales, use and excise taxes, all bond premiums required under Exhibit C, and every cost of compliance with the Subcontract Documents.

3.2 Within ten (10) days after execution of this Subcontract, Subcontractor shall submit to Contractor, for approval, a schedule of values allocating the entire Subcontract Sum among the portions of the Subcontract Work, in the form of Exhibit B. Once approved, the schedule of values shall serve as the sole basis for Subcontractor's applications for payment and shall not be revised without Contractor's written approval. Contractor may require the schedule of values to be unbalanced or rebalanced so that it fairly reflects the value of the work in place.

ARTICLE 4 — APPLICATIONS FOR PAYMENT

4.1 On or before the twentieth (20th) day of each month, Subcontractor shall submit to Contractor an application for payment covering Subcontract Work performed through the last day of that month, on Contractor's standard application form, itemized according to the approved schedule of values and showing for each line item the scheduled value, work completed in previous periods, work completed this period, total completed to date, percentage complete, retention withheld, and balance to finish. Applications received after the twentieth day of the month will be processed with the following month's application.

4.2 Each application for payment shall be accompanied by: (a) a conditional waiver and release on progress payment, in the form prescribed by California Civil Code Section 8132, executed by Subcontractor and covering the amount requested; (b) unconditional waivers and releases on progress payment, in the form prescribed by California Civil Code Section 8134, executed by Subcontractor and by each of its sub-subcontractors and suppliers of any tier, covering all amounts paid under the immediately preceding application; (c) certified payroll records where required by the Subcontract Documents; and (d) a current list of all sub-subcontractors and suppliers furnishing labor or materials for the Subcontract Work, with the amounts paid and owed to each. An application that is incomplete or not supported by the required waivers and releases may be held by Contractor, without liability, until the deficiency is cured.

4.3 Payment shall be made only for Subcontract Work incorporated into the Project. No payment shall be made on account of materials or equipment delivered to the site, or stored on or off the site, that have not yet been incorporated into the Subcontract Work.

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4.4 Contractor's approval of an application for payment, and any payment made under it, shall not constitute acceptance of defective or nonconforming work, and shall not relieve Subcontractor of its obligation to complete the Subcontract Work in accordance with the Subcontract Documents.

ARTICLE 5 — PROGRESS PAYMENTS

5.1 Subject to the other provisions of this Subcontract, Contractor shall pay Subcontractor, within seven (7) days after Contractor receives payment from Owner on account of the Subcontract Work covered by Subcontractor's application, the amount approved by Owner and Contractor for that Subcontract Work, less retention withheld under Article 6 and less any amounts withheld or set off under Article 8.

5.2 Subcontractor acknowledges that Contractor's receipt of payment from Owner for the Subcontract Work is a condition precedent to Contractor's obligation to make any progress payment or final payment to Subcontractor. Subcontractor expressly assumes the risk of Owner's nonpayment, insolvency, or delay in payment, and agrees that Contractor shall have no obligation to pay Subcontractor from Contractor's own funds for any amount that Contractor has not first received from Owner on account of the Subcontract Work. To the extent that applicable law limits the enforceability of this Section 5.2, it shall be construed so as to postpone Subcontractor's right to payment for the longest period permitted by law.

5.3 Contractor may, at its election, make any payment to Subcontractor by check or by electronic funds transfer to an account designated in writing by Subcontractor. Subcontractor shall confirm any change of its remittance instructions by telephone with Contractor's accounting department before the change becomes effective.

5.4 Subcontractor shall pay each of its sub-subcontractors and suppliers, within seven (7) days after Subcontractor's receipt of each progress payment, the amount to which each is entitled out of that payment, and shall require the same of its sub-subcontractors.

ARTICLE 6 — RETENTION

6.1 Contractor shall withhold from each progress payment retention equal to ten percent (10%) of the amount otherwise due to Subcontractor. Retention is not held in a separate account or fund, is not subject to any trust in favor of Subcontractor, and does not bear interest.

6.2 Retention shall be released to Subcontractor with final payment, following Final Completion of the Subcontract Work and Contractor's receipt of final retention from Owner, and in no event later than ten (10) days after Contractor receives from Owner the retention attributable to the Subcontract Work. "Final Completion" means the date on which the whole of the Subcontract Work, including all punch list items, has been completed and accepted by Owner, the Architect and Contractor, and all closeout submittals required by the Subcontract Documents have been delivered to Contractor.

6.3 Contractor may withhold from retention, beyond the date it would otherwise be released, an amount reasonably necessary to secure the completion of outstanding punch list items, the delivery of closeout documents, or the satisfaction of any claim described in Article 8, until the matter is resolved.

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ARTICLE 7 — WAIVERS, RELEASES AND PAYMENT OF LOWER TIERS

7.1 As a condition of each progress payment and of final payment, Subcontractor shall deliver the waivers and releases required by Section 4.2 and Section 10.2, in the statutory forms set out in California Civil Code Sections 8132, 8134, 8136 and 8138, as applicable, and shall obtain and deliver corresponding waivers and releases from each of its sub-subcontractors and suppliers of every tier. Contractor shall have no obligation to make any payment until the required waivers and releases have been received and approved.

7.2 Subcontractor shall promptly pay, out of each payment received, all persons furnishing labor, services, equipment or materials for the Subcontract Work, and shall defend, indemnify and hold harmless Contractor and Owner from every stop payment notice, mechanics lien and payment bond claim arising out of the Subcontract Work. Within five (5) days after notice of any such claim, Subcontractor shall cause it to be released or bonded around at Subcontractor's sole expense.

ARTICLE 8 — WITHHOLDING, BACKCHARGES AND SETOFF

8.1 Contractor may withhold from any payment otherwise due to Subcontractor an amount reasonably sufficient to protect Contractor and Owner on account of: (a) defective or nonconforming work not remedied; (b) stop payment notices, lien claims or bond claims arising from the Subcontract Work; (c) Subcontractor's failure to pay its sub-subcontractors, suppliers or workers; (d) damage caused by Subcontractor to the work or property of Contractor, Owner or another subcontractor; (e) reasonable evidence that the Subcontract Work cannot be completed for the unpaid balance of the Subcontract Sum; or (f) Subcontractor's failure to carry out the Subcontract Work in accordance with the Subcontract Documents. Contractor shall notify Subcontractor in writing of the reason for any amount withheld.

8.2 Backcharges. If Subcontractor fails to perform any obligation under this Subcontract, including daily cleanup, protection of the work, or correction of defective work, and does not cure the failure within five (5) business days after written notice from Contractor, Contractor may perform the obligation itself or through others and deduct the cost of doing so, plus fifteen percent (15%) for overhead and profit, from any amount due or to become due to Subcontractor. Contractor shall furnish Subcontractor an itemized statement supporting each backcharge.

8.3 Setoff. Contractor may set off against any amount due to Subcontractor under this Subcontract any amount that Subcontractor owes to Contractor under this Subcontract or under any other agreement between them, on this or any other project.

ARTICLE 9 — CHANGES

9.1 Contractor may, by written Change Order, make changes in the Subcontract Work within the general scope of this Subcontract. Subcontractor shall not perform any changed or extra work without a Change Order or a written directive signed by Contractor's project manager, and no claim for additional compensation or time shall be allowed for work performed without such written authorization.

9.2 Within seven (7) days after receipt of a proposed change, Subcontractor shall submit an itemized proposal stating the adjustment, if any, to the Subcontract Sum and to the time for performance. Subcontractor's markup for overhead and profit on changed work shall not exceed fifteen percent (15%) of direct cost on work performed with its own forces and five percent (5%) on work performed by its sub-subcontractors.

9.3 Where the Prime Contract limits Contractor's recovery from Owner for a change, Subcontractor's recovery from Contractor for the same change shall be limited to the amount Contractor actually receives from Owner on account of the Subcontract Work, less Contractor's reasonable markup.

ARTICLE 10 — FINAL PAYMENT

10.1 Final payment, including all retention, shall become due as provided in Section 6.2.

10.2 Before final payment, Subcontractor shall deliver to Contractor: (a) a conditional waiver and release on final payment in the form prescribed by California Civil Code Section 8136; (b) corresponding waivers and releases from each sub-subcontractor and supplier of every tier; (c) all warranties, guarantees, operation and maintenance data, record drawings and other closeout submittals required by the Subcontract Documents; and (d) if Subcontractor furnished bonds, the written consent of its surety to final payment. Within ten (10) days after receipt of final payment, Subcontractor shall deliver an unconditional waiver and release on final payment in the form prescribed by California Civil Code Section 8138.

10.3 Acceptance of final payment by Subcontractor constitutes a waiver and release of all claims against Contractor and Owner arising out of this Subcontract, except claims previously made in writing and expressly identified as unsettled in Subcontractor's final application for payment.

ARTICLE 11 — TIME

11.1 Time is of the essence of this Subcontract. Subcontractor shall commence the Subcontract Work within three (3) days after Contractor's written notice to proceed and shall prosecute it diligently, with adequate forces and in the sequence directed by Contractor, in accordance with Contractor's project schedule as updated from time to time.

11.2 If Subcontractor's failure to maintain the schedule causes or contributes to a delay for which Owner assesses liquidated damages against Contractor, Subcontractor shall be liable to Contractor for the portion of those damages attributable to Subcontractor, together with Contractor's own extended general conditions costs.

11.3 Subcontractor shall be entitled to an extension of time, but to no additional compensation, for delays caused by Owner, the Architect or Contractor, except to the extent Contractor actually recovers additional compensation from Owner on account of that delay.

ARTICLE 12 — INSURANCE, INDEMNITY AND SAFETY

12.1 Subcontractor shall procure and maintain, at its own expense, the insurance described in Exhibit C, with Contractor, Owner and their respective officers, employees and agents named as additional insureds on a primary and noncontributory basis, and shall furnish certificates and endorsements evidencing that insurance before commencing the Subcontract Work.

12.2 To the fullest extent permitted by law, including California Civil Code Section 2782.05, Subcontractor shall defend, indemnify and hold harmless Contractor, Owner and their respective officers, employees and agents from and against all claims, damages, losses and expenses, including attorney's fees, arising out of or related to the performance of the Subcontract Work, except to the extent caused by the active negligence or willful misconduct of the indemnified party.

12.3 Subcontractor shall comply with all applicable safety laws and regulations, with Contractor's site-specific safety program, and with the Injury and Illness Prevention Program required by California law, and shall be solely responsible for the safety of its employees and of its sub-subcontractors' employees.

ARTICLE 13 — DISPUTES AND GOVERNING LAW

13.1 This Subcontract shall be governed by and construed in accordance with the laws of the State of California, without regard to its conflict of laws principles. Venue for any action arising out of this Subcontract shall lie exclusively in the state courts located in Alameda County, California.

13.2 Any dispute between Contractor and Subcontractor that cannot be resolved by negotiation between their project executives within fifteen (15) days shall be submitted to nonbinding mediation before a mutually acceptable mediator as a condition precedent to litigation. Pending resolution of any dispute, Subcontractor shall continue to perform the Subcontract Work and Contractor shall continue to make payments not in dispute.

13.3 To the extent a dispute involves the acts or omissions of Owner or the Architect, Subcontractor agrees to be bound by the dispute resolution procedures of the Prime Contract and by any decision rendered under them, and Contractor shall present Subcontractor's claim to Owner in Contractor's name.

ARTICLE 14 — MISCELLANEOUS

14.1 Notices under this Subcontract shall be in writing and delivered by hand, by nationally recognized overnight courier, or by email with confirmation of receipt, to the addresses set forth above or to such other address as a party designates by notice.

14.2 Subcontractor shall not assign this Subcontract, or any payment due under it, without Contractor's prior written consent, and any purported assignment without consent shall be void.

14.3 This Subcontract, together with the other Subcontract Documents, constitutes the entire agreement between the parties concerning the Subcontract Work and supersedes all prior negotiations, proposals and understandings. If any provision of this Subcontract is held unenforceable, the remaining provisions shall continue in full force and effect, and the unenforceable provision shall be modified to the minimum extent necessary to make it enforceable.

14.4 This Subcontract may be executed in counterparts, each of which shall be deemed an original, and signatures delivered electronically shall be effective as originals.

IN WITNESS WHEREOF, the parties have executed this Subcontract as of the date first written above.

MERIDIAN BUILDERS, INC. — By: Daniel Okafor, Vice President, Operations — Date: December 9, 2025

SUMMIT DRYWALL, INC. — By: Carla Mendes, President — Date: December 9, 2025

EXHIBIT B — SCHEDULE OF VALUES

Line	Description	Scheduled Value
1	Mobilization	$10,000.00
2	Metal stud framing	$70,000.00
3	Gypsum board — hang	$60,000.00

4	Tape, finish & level 4	$45,000.00
5	Closeout & punch list	$15,000.00
	Subcontract Sum	**$200,000.00**